

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-17

**BAKERLY, LLC
COMPLAINANT,

v.

SEAFRIGO USA INC.,
RESPONDENT.**

SEAFRIGO RESPONSE TO COMPLAINANT’S PROPOSED FINDINGS OF FACT

Respondent, Seafrigo USA, Inc. (“Seafrigo”), provides the following Responses to Proposed Findings of Fact (“PFF”).

General Facts

Parties

Bakerly PFF 1. Bakerly, LLC is an importer of specialty French food products. CX00018-54.

Response: Not disputed.

Bakerly PFF 2. Seafrigo is a non-vessel operating common carrier (“NVOCC”) licensed by the Federal Maritime Commission as that term is defined at 46 U.S.C. § 40102 (17). CX00003.

Response: Not disputed.

Bakerly PFF 3. Bakerly’s affiliated companies in France had for a lengthy period utilized the Seafrigo affiliates in France and Europe for distribution of their food products to most of its affiliates. CX00019.

Response: Not disputed.

Bakerly PFF 4. Bakerly LLC, the U.S. company, started importing refrigerated containers with Seafrigo of Bakerly food products from its parent companies in France in September 2015. CX00019.

Response: Not disputed.

Bakerly PFF 5. The following Seafrigo companies in the United States provided motor carrier transportation services in the U.S. as Federal Motor Carrier Safety Administration (“FMCSA”) authorized motor carriers or as Property Brokers with authority to arrange motor carrier transportation with other FMCSA authorized motor carriers:

- a. Seafrigo Logistics USA Inc., Property Broker, U.S. DOT no. 2822764, MC-936320
- b. Seafrigo NA Coldstorage, Property Broker, U.S. DOT no. 2811603, MC- 928441

AR: PFF5 – Seafrigo NA Coldstorage did not perform any motor carrier transportation services.
- c. Seafrigo Transport USA, Inc., Property Broker/Motor Carrier, U.S. DOT no. 2497846, MC- 871075. CX00161.

Response: Denied in part. PFF 5(b) is incorrect as Seafrigo NA Coldstorage did not perform any motor carrier services. Raffa Dec. at 131. Seafrigo does not dispute the remainder of PFF 5.

Bakerly PFF 6. These Seafrigo companies, upon which Bakerly relied, were intended to provide services on behalf of Seafrigo directly as motor carriers and/or to arrange for surface transportation as Property Brokers on behalf of Bakerly for door delivery undertaken for ocean shipments for which Seafrigo provided ocean transport. CX00161.

Response: Disputed. The Seafrigo companies listed, with the exception of Seafrigo NA Coldstorage, were intended and did perform to the extent possible motor carrier services and arrange for surface transportation for Bakerly. As reflected in response to other PFFs and in Seafrigo’s Supplemental PFFs, the timely pick up of full Bakerly containers at terminals and the return of empty Bakerly containers was substantially hindered by nationwide record port congestion that plagued the industry and terminals during the relevant time period. Supplemental Proposed Findings of Fact (SPPF). The ability of Seafrigo to timely provide the services at issue was also hindered, and in many cases rendered impossible, by Bakerly’s inadequate warehouse space and facilities which were unable to accept delivery of full containers thus resulting in the accumulation of significant amounts of demurrage. SPPFSPPF at 82. Bakerly’s inadequate warehouse also lacked the personnel to timely unload containers that had been delivered to their sites, thus causing huge amounts of detention or demurrage to accrue. SPPFSPPF at 20. The Bakerly warehouse’s inability to timely accept and unload delivered containers also resulted in truckers having to spend extended hours at the facility or in some cases having to stay overnight. SPPFId. Not surprisingly, this resulted in truckers being unwilling to deliver

containers to Bakerly warehouses (during the midst of a nationwide shortage of truckers as result of port and terminal congestion and rampant COVID). SPPFSPPF at 15; 121.

Bakerly PFF 7. Door delivery was contracted pursuant to the ocean bills of lading issued to Bakerly for ultimate delivery to its various locations in the U.S. and for the return of empty containers to appropriate terminals. CX00161. Door delivery was contracted for to the extent feasible which often was not feasible due to nationwide congestion in intermodal transportation and Bakerly's warehousing deficiencies.

Response: See Response to PFF 6.

Timeline

Bakerly PFF 8. The terms of the U.S. imports with Seafrigo were originally on a DDP USA basis for delivery to two Bakerly locations in the United States. CX00019; CX00162.

Response: Not disputed.

Bakerly PFF 9. Bakerly in February 2019 decided to start buying from its Bakerly parent companies in France pursuant to FOB terms and to have Seafrigo USA handle the transportation from the port to door delivery. CX00019; CX00162.

Response: Not disputed.

Bakerly PFF 10. At that time Seafrigo USA was chosen to handle 100% of all imported reefer containers for Bakerly USA for ultimate door delivery to the various warehouse facilities maintained by Bakerly in the United States. CX00019.

Response Seafrigo has no knowledge of whether it handled 100% of all of Bakerly's reefer containers but does not dispute.

Bakerly PFF 11. The Rules Tariff and the bill of lading terms and conditions provided the following rules related to the issues at hand:

a. Rule 6.5

Rule 6.5

Carrier shall not be liable for any loss or damage arising from:

(a) an act or omission of Merchant or person other than Carrier acting on behalf of Merchant from whom Carrier took the goods in charge,

(b) compliance with the instructions of any person authorized to give them,

I handling, loading, stowage or unloading of the goods by or on behalf of Merchant,

(d) inherent vice of the goods,

I lack of insufficiency of or defective condition of packing in the case of goods, which by their nature, are liable to wastage or damage when not packed or when not properly packed,

(f) insufficiency or inadequacy of marks or numbers on the goods, coverings or unit loads,

(g) fire, unless caused by actual fault or privity of Carrier,

(h) any cause or event which Carrier could not avoid and the consequences of which he could not prevent by the exercise of due diligence. CX00057.

b. Rule 9

CARRIER'S CONTAINERS:

9.1 If goods are not received by Carrier already in containers, Carrier may pack them in any type of container.

9.2 Merchant shall be liable to Carrier for damage to Carrier's containers or equipment if such damage occurs while such equipment is in control of Merchant or his agents.

9.3 Merchant indemnifies Carrier for any damage or injury to persons or property caused by Carrier's containers during handling by or when in possession or control of Merchant.

9.4 Merchant undertakes to return such containers to Carrier within the time provided for in Carrier's applicable tariff; otherwise, Merchant shall pay Carrier for the demurrage or detention charges applicable to the containers.:

CX00057; Seafrigo's Response to Complainant's First Set of Admissions No. 5.

c. Rule 15

RULE: 15 Effective: 22Feb2017 (I)(R)

FREE TIME, DETENTION AND DEMURRAGE

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that operates the vessel transporting the cargo.

15.2 The VOCC imposes detention charges if empty containers released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time).

Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

15.3 The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

CX00065-66; Seafrigo's Response to Complainant's First Set of Admissions No. 6.

d. Rule 17

USE OF EQUIPMENT

17.1 General Provisions

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or containers). Merchants use of chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pickup, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, except to the extent the goods are door cargo; and
2. The care and custody of equipment.

Seafrigo's First Admissions No. 7.

Response: Not disputed.

NRAs

Bakerly PFF 12. Seafrigo sent quarterly rates to Bakerly: Exhibit 07-1: NRA March 2021, Exhibit 07-2: NRA June 2021, Exhibit 07-3: NRA September 2021, Exhibit 07-4: NRA December 2021, Exhibit 07-5: NRA March 2022. Bakerly Responses to First Set of Document Requests No. 7.

Response Not disputed.

Bakerly PFF 13. The Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act 46 CFR Part 545, was effective as of May 18, 2020, and afforded such protection to Seafrigo and to Bakerly as the party to whom Seafrigo assessed those D&D charges as pass throughs. CX00019.

Response: Disputed. Pursuant to the Seafrigo Tariff, Seafrigo's bill of lading terms and conditions, the parties' NSAs, the course of conduct between the parties and the practice in the industry, demurrage and detention charges are assessed against shippers not NVOCCs or freight forwarders. SPPF at 113.

Snowstorm Period

Bakerly PFF 14. In January 2021, Bakerly for the first time received D&D charges from Seafrigo which related to December 2020 – January 2021 activity in the amount of \$361,178.54. CX00019; CX00298.

Response: Seafrigo does not dispute that it first issued invoices in January of 2021 related to snowstorms that closed terminals in December of 2020.

Bakerly PFF 15. A video meeting was scheduled between Seafrigo USA, Seafrigo France and Bakerly USA in February 2021 to discuss the above noted D&D charges. CX00019; CX00298; CX00334 (email thread scheduling the video meeting); CX00704 (Bakerly emails requesting information about the snowstorm).

Response: Not disputed.

Bakerly PFF 16. During the meeting Seafrigo rejected the responsibility of the poor performances claiming the NY snowstorm and the port closure made it impossible for them to perform services. CX00019; CX00298; CX00338 (internal email communication outlining strategy for December demurrage).

Response: Disputed. Seafrigo denies that it had poor performance during the time period at issue. Raffa Dec. at 53. Seafrigo had no control over whether terminals shut down due to snowstorms. Id. Bakerly implicitly conceded as much when it informed Seafrigo during the course of the litigation that it would not be challenging Seafrigo's right to recover

detention and demurrage Seafrigo paid to third parties as a result of the shutdown of terminals during snowstorms. SPPFSPPF at 116.

Bakerly PFF 17. Bakerly agreed to pay those charges and Seafrigo agreed to send Bakerly a \$30,000 credit as a commercial gesture but that it did not represent admission of fault. CX00019; CX00627 (8/29/21 email).

Response: Not disputed. Bakerly PFF 18 During that meeting it was also discussed the VID incentive Seafrigo wanted to put in place. This was a volume incentive based on Bakerly 2021 FEU forecast. Seafrigo was then fully aware of the projected volumes and committed to its ability to handle those volumes on a port to door basis. Bakerly was by then or about shortly to become Seafrigo's third largest customer shipping in the ranges of 1,000 FEUs annually. This was all known to Seafrigo at this meeting. CX00019.

Response: Partially disputed. Seafrigo does not dispute that the parties executed a VID incentive program. Neither Seafrigo nor Bakerly were able to foresee the extent of the detention and demurrage which resulted from the unprecedented intermodal transportation congestion which plagued the industry during the time period at issue. Raffa Dec. at 54. At that time, Seafrigo was also not aware that Bakerly's warehousing's system was so deficient that Bakerly would terminate one of its major warehouseurs without notice and that the Bakerly warehouseurs had insufficient personnel to timely accept full containers and to timely unloaded empty containers. Id.

Bakerly PFF 19 Participants at that meeting were: Jérôme Lorrain: CEO Seafrigo USA; Al Raffa: Managing Director Seafrigo USA; Nathalie Pinçon-Daniel: International Export Sales Director Seafrigo France; Sébastien Hedouin: North America Sales Manager Seafrigo France; Charles Lefort: VP, Supply Chain Bakerly; Angela Vieira: Director, Supply Chain Bakerly. CX00019.

Response: Seafrigo does not dispute that there was a meeting of the individuals referenced. Seafrigo further asserts, however, that during the meeting Seafrigo generously offered as a commercial gesture a \$30,000 credit on amounts due it from Bakerly. In exchange for that credit, Bakerly agreed to pay outstanding detention and demurrage charges. Raffa Dec. at 55. Exhibit . Detention and demurrage charges are what Bakerly now refuses to pay. Id.

Bakerly PFF 20. No mention at that time was made by Seafrigo that remedial steps would be sought with respect to the demurrage assessed against Seafrigo by the pertinent ocean common carriers and their respective terminals related to the impossibility of performance due principally to weather and other situations leading to closure of the Port of New York during that period. CX00019.

Response: Disputed. As reflected in contemporaneous documentation, Seafrigo sought to have carriers waive certain detention and demurrage charges. SPPF at 165. Further, as Bakerly is well aware, Al Raffa, Seafrigo's Managing Director USA and Jerome Lorrain, the Chief Executive Officer of Seafrigo USA separately met with Seafrigo's two primary carriers, MSC and CMA, and sought to have them provide detention and demurrage relief due to congestion. Id. Unfortunately, due to market conditions and the leverage the carriers

had, the carriers were unwilling to provide any relief. Id. at 166. Charles Lefort of Bakerly was informed of that fact. Id. at 167. There is nothing in the Seafrigo tariff or Seafrigo's bill of lading terms and conditions or the parties NSAs which require Seafrigo to bring legal action against carriers or terminals to obtain refunds of detention and demurrage charges assessed. SPPF, 2-5.

July 2021

Bakerly PFF 21. In July 2021, Bakerly received an alert from Al Raffa from Seafrigo USA to inform Bakerly that demurrage and detention fees had started to pile up again since April and that Bakerly needed to clear its open balance to help Seafrigo with their cashflow as they had paid these in advance. CX00020.

Response: Partially disputed. While an alert was issued, regular invoices had been issued by Seafrigo to Bakerly alerting it to the fact that detention and demurrage charges were accumulating and that Bakerly's invoices needed to be paid. SPPF at 183. At no time in this period did Bakerly assert that Seafrigo, as opposed to Bakerly, was responsible for paying the detention and charges that accrued. SPPF at 189.

Bakerly PFF 22. Before that date Bakerly never received any alert on demurrage and detention from Seafrigo. This was the first time since the December-January D&D issues that Bakerly heard about these Seafrigo performance issues since January 2021. CX00020.

Response: Disputed. First the charges that accrued were not the results of Seafrigo performance issues. Raffa Dec. at 96 Further, individual invoices were being sent on a per transaction basis. SPPF at 137. Thus, Bakerly was fully aware that such charges were owed. Id. Seafrigo felt compelled to issue the alert because during the months of April, May, and June of 2021 there was minimal detention and demurrage charges accruing. Raffa Dec. at 96. By July 2021, however, demurrage and detention began to accrue in greater amounts. Id. The notice was required because once again Bakerly was not paying its invoices. Id.

Bakerly PFF 23. Angela Vieira, Director, Supply Chain for Bakerly USA and Charles Lefort had a telephone call with Al Raffa, a senior manager with Seafrigo USA, to discuss the situation and in particular, Bakerly's concern with Seafrigo's lack of performance and communication that led to those new charges. CX00020.

Response: Denied. The parties had a telephone call, but the charges invoiced were not the result of Seafrigo's performance. Raffa Dec. at 97.

Bakerly PFF 24. Seafrigo started bringing up the lack of drivers issue for which it was suggested by Bakerly that Seafrigo should start looking at carriers with a higher rate structure to make sure that they could secure them to service Bakerly and to avoid D&D charges. This idea was not given serious consideration and was brushed off. Seafrigo during the conversation. CX00020.

Response: Disputed. Among the topics discussed at the meeting was the shortage of truckers plaguing the industry. This shortage was compounded by the fact that deficiencies in the Bakerly warehousing system were so severe that truckers were refusing to deliver

Bakerly goods because they routinely were having to wait for extended hours to drop off containers or in other instances having to spend the night at the facility (layovers) before goods could be unloaded. SPPF at 20. The situation was so bad that Bakerly informed its warehouse that it was severely impacting Bakerly's drayage costs and causing it to lose drivers. SPPF at 24.

Further the statement that Seafrigo would not give consideration to the nationwide driver shortage is false. Seafrigo sent out a blast to its customers on Sept 27, 2021, that Seafrigo would be hiring outside truckers at higher rates in order to support its coverage. Raffa Dec. at 65.

Bakerly PFF 25. In view of this, at this time, Bakerly started diversifying their importation program by adding a new carrier for the first time since 2015, when Bakerly had provided 100% of their business to Seafrigo. CX00020.

Response. Seafrigo does not dispute that Bakerly added new carriers including CEVA which is owned by CMA. Raffa Dec. at 132. CMA is a VOCC that is one of the largest refrigerated container carriers providing service from Northern Europe to the United States. Id. CMA provided much of the transportation at issue from which detention and demurrage charges arose. Id.

Bakerly PFF 26. On August 2021, Charles Lefort had a call with Jérôme Lorrain, Seafrigo's USA CEO to discuss Bakerly's open balance on D&D charges and Seafrigo's potential inability to keep paying those charges on behalf of Bakerly if Seafrigo did not clear Bakerly's balance. No threats were made at this point. It was more of a conversation to find solutions on how to clear the open balance. CX00020.

Response: –Not disputed. At that time, Bakerly was clearly informed that due to market conditions there were no signs of short-term improvement, and that this situation could worsen ahead of peak season. Lorrain Dec. at 18. At that time, the parties discussed the need to define a priority list of customers for Bakerly needing containers to be released, subject to the terminal being able to locate the containers in the terminal and subject to dray equipment availability (chassis and gensets). Id. The above was also subject to drivers' availability, which was worsened by the Bakerly warehouse's inability to empty containers, thus stranding drivers at their facilities. Id.

Bakerly PFF 27. It was agreed that Bakerly was going to spend time researching those charges internally (since no backups were provided by Seafrigo) and assess who was at fault (Seafrigo or Bakerly) and to identify payment amounts. CX00020.

Response: Disputed. Invoices and backups were provided to Bakerly. Raffa Dec. at 133. Seafrigo once again informed Bakerly that it was doing its best to pull containers out of the terminals as quickly as possible. Id. Seafrigo informed Bakerly, however, that it could not be held responsible for the situation, especially given the poor performance of the Bakerly warehouses in offloading containers on a timely basis. Id. Seafrigo had informed the entire Bakerly team that it was unable to find truckers willing to offload at the Bakerly warehouses because of the extremely long waiting times. Id.

Bakerly PFF 28. At this time Seafrigo agreed to issue another \$30,000 credit as a commercial gesture but it was stated that it did not represent admission of fault. Jérôme Lorrain also agreed to start sending to Bakerly weekly D&D reports so Bakerly could start tracking its containers in an attempt to avoid D&D charges. CX00020.

Response: Partially disputed. Seafrigo did agree to issue another \$30,00 credit but Bakerly agreed to pay outstanding detention and demurrage invoices. Raffa Dec. at 50. Seafrigo was already proving invoices and back up to Bakerly. Id. *See also* Response to PPF 27, Further it is noteworthy that despite the incredibly difficult circumstances, and the abysmal warehouse performance by Bakerly, not a single container was not delivered by Seafrigo. SPPFSPPF at 26.

Bakerly PFF 29 However, it was quickly determined that Seafrigo's efforts to provide weekly reports were deficient in that they contained erroneous information, or the information provided was incomplete. CX00020.

Response: Disputed. As reflected in contemporaneous records, Seafrigo provided accurate invoices and back-up documents supporting those invoices. SPPFSPPF at 140. Seafrigo was already sending invoices per transaction and the new weekly reports being sought were redundant. Raffa Dec. at 134.

Bakerly Independent Review of Invoicing by Seafrigo

Bakerly PFF 30. Because of the significant charges, Bakerly analyzed 165 invoices that were sent by Seafrigo from July to October 2021 in an independent review.¹ Bakerly's Supply Chain team reviewed information provided by Seafrigo and publicly available information to identify the causation of the open D&D charges. The following results were communicated by Charles Lefort to Seafrigo's management team in October 2021:

- a. Bakerly approved \$224,000.00 of the D&D charges and rejected \$402,000.
- b. Bakerly needed to receive the weekly D&D report that Seafrigo committed to send during the August 2021 but never sent.
- c. Bakerly would automatically reject invoices for D&D due to lack of carriers until Bakerly and Seafrigo could have a conversation to discuss why Seafrigo is still not performing despite all the calls and promises.

CX00020-21; CX00296; CX00668.

Response: Disputed. Seafrigo denies that Seafrigo was not performing. SPPF . Bakerly without justification rejected all detention and demurrage charges. SPPF. It did this despite voluminous documentation reflecting that most of the charges were the result of

¹ This independent review included reviewing information provided by Seafrigo and a review of publicly available information about the containers, carrier and terminal rates, etc. Supp. Aff. ¶¶ 37-39. **Response:** Bakerly concedes in its footnote that the information it asserted it lacked was publicly available.

deficiencies in the Bakerly warehousing system and nationwide congestion. SPPF at 1. Bakerly also has acknowledged that there was a nationwide shortage of drivers which was compounded by truckers refusing to deliver Bakerly goods due to the Bakerly warehouse's inability to allow for timely delivery of full containers and return of empty containers. SPPF at 20; 63. Further, the charges were the result of widespread port congestion. SPPF at 1. Nonetheless, Seafrigo continued in good faith to service delivery of Bakerly's containers. SPPF at 144; 161.

Bakerly PFF 31. Based on this independent review, Bakerly started automatically rejecting invoices because Seafrigo failed to provide sufficient information regarding the reason for the charges. CX00020-21; CX00297CX00309 (note sent to Seafrigo informing them of the automatic rejection of invoices without its proper backup explaining the reasons for the charge); CX00316 (note sent to Seafrigo reminding them of the note sent in exhibit 04-1 following Seafrigo's failure to respond); CX00324 (reply from Seafrigo to note in exhibit 04-2 confirming their inability to provide the proper invoices backup requested in exhibit 04-1).

Response: Disputed. See Responses to PPFs 29 and 30. Further, Bakerly requested that Seafrigo start sending a weekly recap report on detention and demurrage charges months after the containers had been handled and invoiced. Raffa Dec. at 135. Seafrigo informed Bakerly that it was unnecessary and wasteful to provide a recap of information that had previously been provided. Id.

Duplicative Invoices

Bakerly PFF 32. In December 2021, in preparation for another discussion with Seafrigo's management team, an independent review was completed by Bakerly's Supply Chain team and accounting staff to confirm that it understood the numerous D&D invoices from Seafrigo. Given the extreme difficulty to follow the huge amount of non-coordinated invoices sent by Seafrigo, Bakerly requested structuring the accounting system between Merchant and Carrier so that only one container would be covered by one Purchase Order and that only one invoice would be related per Purchase Order for single activities. These single activities would include detention, demurrage, freight, per diem, duties, accessories.

Response: Disputed. The difficulty referenced by Bakerly was due to its own failure to review invoices and back up. Raffa Dec. at 136. The invoices sent by Seafrigo were coordinated based on "real time" status. Id. If detention and demurrage accrued after the date when containers were scheduled to be picked up or returned, new payments were required, and new invoices had to be issued. Id. Further, Al Raffa's email on November 13, 2021, was in response to a request for a recap information that previously had been provided and regurgitating it would have been a waste of time. Id.

Bakerly PFF 33. In that review it was determined that for over one hundred Purchase Orders, it appeared that more than one invoice had been charged by Seafrigo per Purchase Order.

Response: Disputed. Carriers and terminals assess freight, and other charges as they become due. Raffa Dec. at 99. If containers sit on a terminal or at a warehouse for an

extended period of time, more than one invoice for that container may be issued. Id. That simply reflects the billing practice of the underlying carrier or terminal. Id. Bakerly's refusal to pay such invoices is unjustified and smacks of bad faith. Id.

Bakerly PFF 34. This invoicing negligence prevented Bakerly from paying any of these invoices as Seafrigo has never offered any explanations for any reason that the charges were repetitious even when paid. CX00021. See also below details of the Pos/containers with multiple charges:

Demurrage on which payment was not paid:	\$884,242.87
Demurrage paid:	\$138,420.33
Demurrage total:	\$1,022,663.10
Per Diem on which payment was not paid:	\$10,242.55
Per Diem paid:	\$7,349.00
Per Diem total:	\$17,591.55

Total D&D disputed charges:	\$1,040,254.65
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CX00021.

Response: Disputed. There was no negligence on the part of Seafrigo regarding its invoicing. Raffa Dec. at 137. Seafrigo sent invoices regularly as the events occurred. SPPF at 183. Bakerly's team was apparently unable (or unwilling) to follow the information that was being sent to them whether it be through individual invoices and/or day to day emails. Raffa Dec. at 137.

Bakerly PFF 35. While Seafrigo states the following: "As Bakerly should be well aware, third parties such as steamship lines and marine terminal operators frequently issue supplemental invoices related to the same shipment reflecting additional charges which have accrued over time. NVOs such as Seafrigo pass through such charges to their customers" (Seafrigo Response to Bakerly's First Set of Interrogatories No. 13), Seafrigo never provided full support for these underlying payments to the steamship lines and MTOs nor the periods for which Seafrigo was paying. CX00021; Suppl. Aff. ¶ 7.

Response: Disputed. Seafrigo provided information it had in its possession, much of which came from third parties. SPPF at 141; 178; 186. MTOs and VOCCs frequently failed to provide detailed invoices prior to the enactment of OSRA 2022, which was one of the primary reasons OSRA 2022 was enacted. Raffa Dec. at 138. Seafrigo was reliant upon VOCCs and MTOs to provide information and invoices, which were then passed through to Bakerly. SPPF at 178; 186. Seafrigo also provided evidence of receipts reflecting

payments to MTOs and VOCCs as requested. Raffa Dec. at 166. Finally, as Bakerly itself concedes, the information sought was publicly available. *See* Bakerly PFF footnote 1 herein.

Bakerly PFF 36. Seafrigo admits to not providing this underlying supporting documentation. Seafrigo Response to Bakerly Second Set of Discovery Requests at No. 3, No. 4 (“During the time period at issue, Seafrigo was not obligated to provide supporting documentation in regard to third party invoices issued by parties such as steamship lines, marine terminal operators, or rail carriers which invoices were being passed through to Bakerly.

Response: Disputed. During the period in question, SSLs and MTOs were not obligated to provide detailed invoices as is now required under OSRA. Raffa Dec. at 81. Seafrigo forwarded information s as provided by MTOs and SSLs. Id. Seafrigo was not obligated to provide information not in its possession. Id. The impossibility of obtaining certain details from SSLs and MTOs was compounded by the fact that Bakerly often only sought it more than a year after invoices and back up information had been provided. Id. Finally, as Bakerly itself concedes, the information sought was publicly available. *See* Bakerly PFF footnote 1 herein.

Bakerly PFF 37. Given the extreme difficulty to follow the huge amount of non-coordinated invoices sent by Seafrigo, Bakerly requested structuring the accounting system between Merchant and Carrier so that only one container would be covered by one Purchase Order and that only one invoice would be related per Purchase Order for single activities. These single activities would include detention, demurrage, freight, per diem, duties, accessories. CX01319, Suppl. Aff. ¶ 3.

Response: Disputed. *See* response to PFF 32.

Bakerly PFF 38. It was agreed by Seafrigo to process this way, but unfortunately Seafrigo proved unable to fulfill this commitment as well. CX01318-22, Suppl. Aff. ¶¶ 2-16.

Response. Disputed. Seafrigo never agreed to issue only one invoice per container. Raffa Dec. at 80. Instead, throughout the time period at issue Seafrigo issued “real time” invoices and status reports reflecting charges assessed by third parties. Raff Dec. Id. Thus, if detention and demurrage accrued after the date when containers were scheduled to be picked up or returned, Seafrigo paid and forwarded such invoices to Bakerly. Id.

Bakerly PFF 39. The net effect and Bakerly expectations, and its experience with Seafrigo since 2015 of this was that all billable activities by type (freight, detention, demurrage, duties, and accessories) would be applicable to single containers by Bakerly’s Purchase Order number and correlated to Seafrigo Invoice identified alpha numerically which invoiced always started with IMP (or US under new system). The practice since 2015 until 2021 had been the expectation that demurrage and detention would be invoiced either when the demurrage and detention was paid by Seafrigo when the demurrage ceased accruing---i.e., the container was picked up after Seafrigo received the final invoice for the activity. CX00021; CX01318-19, Suppl. Aff. ¶3.

Response: Disputed. *See* response to PFF 38. Seafrigo admits, however, that on occasion it had to issue separate invoices for detention and demurrage charges that accrued or were invoiced by third parties at different times. Raffa Dec. at 82. The reason that Seafrigo was not required to issue multiple invoices for one container during much of the 2018 to 2020 period was that the market did not require it. *Id.* When port congestion increased and Bakerly's warehouses proved unable to accept delivery and to timely unload containers such charges began accruing and multiple invoices were necessitated. *Id.*

Bakerly PFF 40. In Bakerly's review as referenced in Bakerly PFF 32, it was determined that for over one hundred Purchase Orders, it appeared that more than one invoice had been charged by Seafrigo per Purchase Order for Bakerly. Thus, Seafrigo sent multiple invoices for each event, such as detention and demurrage. CX01319, Suppl. Aff. ¶4.

Response: Disputed. *See* response to PFF 39.

Bakerly PFF 41. While Seafrigo has indicated in its Answer that such multiple invoices are "a common practice in the industry whereby supplemental invoices have to be issued when demurrage or detention continues to accrue," that is not, in fact the case. Bakerly's experience, even with Seafrigo from 2015 through 2020, has been the single invoice, for the single Purchase Order/Container, per billing activity. CX01319-20, Suppl. Aff. ¶ 8.

Response: Disputed. When port congestion increased and Bakerly's warehouses proved unable to accept delivery and to timely unload containers such charges began accruing and multiple invoices were necessitated. Raffa Dec. at 82.

Bakerly PFF 42. In Docket FMC-2022-0066,² FMC Proposed Rule on Demurrage and Detention Billing Requirements, the Commission, October 14, 2022, wherein it proposes that demurrage and detention be invoiced within 30 days of when charges stop accruing clearly states in referencing its Advanced Notice of Proposed Rule Making on this matter that "[t]he Commission sought comments on whether the Commission should require billing parties to issue demurrage or detention invoices within 60 days **after the charges stopped accruing.**" (emphasis added). The Commission further stated, "that the Uniform Intermodal Interchange Agreement (UIIA) on which the industry relies currently requires that invoices be issued within 60 days and asked whether the 60-day timeframe was effective in addressing concerns raised by billing parties, or whether a longer or shorter time period would be more appropriate." 87 Fed. Reg. at 8508, 8509 (Question 12) and 87 Fed. Reg. at 8508. This contradicts Seafrigo's statement that "The vast amount of the charges in dispute are demurrage and detention charges assessed by VOCCs and marine terminals, which for most of the time period at issue were straight passthrough charges assessed without mark up." CX01415.

Response: Disputed. Bakerly cites a Rule proposed by the Commission on October 14, 2022, long after the shipments at issue. Thus, on its face it is inapplicable. The proposed rule, however, was necessitated by the fact that VOCCs and MTOs were often issuing belated invoices. Raffa Dec. at 83. Seafrigo further states that it issued the invoices in question much sooner than 60 days after the charges had stopped accruing. *Id.* In some

² Available at <https://www.regulations.gov/document/FMC-2022-0066-0090>.

instances, however, Seafrigo had to re-send invoices to Bakerly because apparently Bakerly lost track (or claimed to have lost track) of invoices that had previously been issued. *Id.*

Bakerly PFF 43. In summarizing the 81 comments submitted with respect to Docket FMC-2022-0066, FMC Proposed Rule on Demurrage and Detention Billing Requirements, the Commission's summary of comments for the various industry participants (VOCCs, MTOs; NVOCCs, freight forwarders, and customs brokers; motor carriers; and beneficial cargo owners (BCOs), there was no mention of any of the groups supporting an invoice period before the charges stopped accruing which dissuades one from the conclusion that such a practice is currently a common industry practice. Pages 3/39-6/39.

Response: Disputed. *See* response to PFF 42.

Bakerly PFF 44. Seafrigo invoices (IMP10-21-07836-07, IMP10-21-07836-06, IMP10-21-07836-05, IMP10-21-07836-04, IMP10-21-07836-03, IMP10-21-07836-02) in Exhibit 9 to the Complaint are for Bakerly container no. SEGU9388853, Bakerly Purchase Order no. PO001287. All six invoices are demurrage charges to Bakerly for a total of \$28,761.43. CX00147-56.

Response: Partially disputed. Seafrigo admits that it sent invoices as necessary. *See* responses to PFF 38 and 39.

Bakerly PFF 45. Each of the invoices in Exhibit 9 identified in Bakerly PFF 44 include the following information, among other:

Bakerly's Purchase Order no. 001287;
Reference to Bakerly's Container no. SEGU9388853;
Arrival Date of 9/28/21; and
The description of the charges for demurrage and the amount of demurrage charged.

The Seafrigo invoices do not include the following information:

The period of time which pertains to the amount of demurrage charged;
The pickup date of the container;
The fact of whether the container remains at the terminal is continuing to accrue demurrage;
The Last Free Date of the container from which demurrage starts accruing.

CX00147-56.

Response: Disputed. As reflected in response to PFFs 36 and 42, during the period in question, SSLs and MTOs were not obligated to provide detailed invoices as is now required under OSRA 2022. Seafrigo forwarded information as provided by MTOs and SSLs. SPPF at 141; 178; 186. Seafrigo was not obligated to provide information not in its possession. *Raffa Dec.* at 84. The impossibility of obtaining certain details from VOCCs

and MTOs was compounded by the fact that Bakerly often only sought it more than a year after invoices and back up information had been provided. Id. Finally, as Bakerly itself concedes, the information sought was publicly available. See Bakerly PFF footnote 1 herein.

Bakerly PFF 46. The Maher public information out-gated date is 10/27/2021 for IMP10-21-07836 for subject container SEGU9388853. The computation of demurrage incurred based on this information---i.e., Arrival date of 9/28/2021 and pick up date of 10/27/2021 is computed as follows based on the applicable Hapag Lloyd demurrage rates:

Free days at Port (reefer)----	2 Work days;
Demurrage days-----	27 days
First 1-3 days @ \$446/day--	\$1,338.00
4-27 (24 days) @ \$640/day--	\$15,360.00
Total demurrage	\$16,698.00

CX01320.

Response: Disputed in part. The summary provided by Bakerly fails to recognize (or acknowledge) that Maher Terminal assessed a fee of 3.99% on detention and demurrage paid by credit card which is how the invoices at issue were paid. Raffa Dec. at 139. Bakerly further fails to acknowledge that by the time the invoices in question had been issued, Bakerly had allowed a significant amount of detention and demurrage to accrue which compelled Seafrigo to assess finance fees and administrative fees to cover Seafrigo's enormous cash outlay. Id. Nonetheless, Seafrigo admits that in this isolated instance it overcharged Bakerly by \$8,879.55. Id.

Bakerly PFF 47. Additionally, through information Seafrigo provided after discovery was closed (SU1001631 and SU1001632, CX01407-08), Bakerly was able to identify another set of duplicative invoicing for PO000691, Container SEGU9420024, and Seafrigo reference no. IMP10-21-07638:

IMP10-21-07638-04 Invoice dated 10/12/2021----	\$3,614.69
IMP10-21-07638-03 Invoice dated 10/12/2021----	\$8,459.59
<u>IMP10-21-07638-04 Invoice dated 10/08/2021----</u>	<u>\$1,422.58</u>
Total demurrage charged by Seafrigo:	\$13,496.86

CX01320, Suppl. Aff. ¶ 12.

Response: Disputed. The invoices of Seafrigo are correct. Raffa Dec. at 140. Bakerly fails to recognize that when paying Maher Terminal with a Credit Card, Maher Terminal charges a finance fee in addition to the detention and demurrage charges of 3.99%. See doc SEA0531-001.

Bakerly PFF 48. Container SEGU9420024 arrived on September 17, 2021, and the last free date is two workdays from that date: i.e., demurrage started running September 21, 2021. The Maher public information out-gated pickup date is 10/5/2021 for IMP10-21-07638

for subject container SEGU9420024, and the corresponding Maher Terminal and Hapag demurrage rates are as follows:

- a. The Maher Terminal demurrage rate as noted above at that time for reefer cargo was as follows for 14 demurrage days:
1-3 (3 days) @ \$446 for \$1,338.00, and 4-14 (11 days) @ \$640 for \$7,040.00 for a total of \$8,378. Again, the demurrage charged by Seafrigo was \$13,496.86.
- b. The Hapag demurrage rates at that time were as follows:
1-3 (3 days) @ \$684 for \$2,052.00, and 4-14 (11 days) @ \$869 for \$9,559.00 for a total of \$11,611.00. Again, the demurrage charged by Seafrigo was \$13,496.86, which does not match, neither with the lately communicated justification, nor with the affirmation stated by Seafrigo that charges were passed through without mark-up.
- c. The service of Maher Terminal of collecting demurrage for the ocean common carrier subject to the VOCCs own tariff is optional and conditioned on various minimal pricing requirements. While the practice is generally that the terminals collect demurrage for the ocean common carriers, in fact, it is an optional activity as stated in the applicable Maher Terminals LLC Marine Terminal Schedule no. 010599.

CX01319-20, Suppl. Aff. ¶¶ 7, 10.

Response: Disputed. Bakerly asserts that Seafrigo paid Maher Terminal \$13,496.86 when Maher was only entitled to charge \$11,610. The summary provided by Bakerly fails to recognize or acknowledge that Maher Terminal assessed a fee of 3.99% on detention and demurrage paid by credit card which is how the invoices at issue were paid. Raffa Dec. at 141. Bakerly further fails to acknowledge that by the time the invoices in question had been issued, Bakerly had allowed a significant amount of detention and demurrage to accrue which compelled Seafrigo to assess finance fees and administrative fees to cover Seafrigo's enormous cash outlays. Id.— Finally, while Maher Terminal's Marine Schedule provides that collecting demurrage for the ocean common carrier is optional, here Maher insisted that such charges be paid, or it refused to release the Bakerly containers in its possession. Id.

Claim Totals

Bakerly PFF 49. The total sums invoiced to Bakerly by Seafrigo during the Period was \$2,973,475.29. Removing \$198,551.87 from the total it originally claimed (\$95,207.56 in demurrage and \$103,344.31 in detention), the total is \$2,774,923.42. Of this amount, \$2,262,036.97 is for demurrage, and \$512,886.45 is for detention. On the demurrage portion, Bakerly has already paid \$973,227.05 to Seafrigo, and Bakerly seeks a refund of this amount per the allegations in Count 1; for the amount of demurrage that has not been paid which is disputed by Bakerly in the amount of \$1,288,809.92 Bakerly requests that this amount be held as unlawfully charged per the averments in Count 1, and that Seafrigo be directed to cease and desist collection of this amount. On the detention side, Bakerly has paid \$278,172.37 to Seafrigo, and \$234,714.08 detention charged remains unpaid. CX00016, 22.

Response: Seafrigo does not dispute the amounts charged and the amounts unpaid. Seafrigo denies that any of the charges assessed were in any way unlawful. Raffa Dec. at 142.

Freight Charges

Bakerly PFF 50. The parties have resolved most of the outstanding freight charges. Seafrigo claimed that Bakerly owed \$865,336.89 in outstanding freight. Through negotiations involving document backup from Seafrigo, the outstanding amount is now \$38,184.50. Bakerly paid \$672,823.55 and \$11,506.51 for a total of \$684,330.06. Seafrigo agreed that \$142,122.33 is not valid (\$102,810.46 was actually D&D or completely abandoned \$39,311.87). The parties are still negotiating the final disputed \$38,184.50. CX01328-29, Suppl. Aff. ¶ 36.

Response: Seafrigo admits that after belatedly paying \$672,823.55, Bakerly now only owes \$38,184.50 in freight charges.

Seafrigo's failures

Failed Communication

Bakerly PFF 51, Seafrigo had difficulties with staffing. CX00678 (Email on 1/5/22 “currently have 41 team members out with Covid or waiting on test results. We have another 40 that used our automated line to call out sick . . . With this [sic] mind, we will be lucky to stay on target with your current volume.”).

Response: Disputed. The statement of “41 team members out with Covid” and “we have another 40 that used our automated line to call out sick” was made by Frank Palaia, Sales Manager of Lineage Allentown PA. (The warehouse that Bakerly informed Seafrigo that it had terminated in June 2021), not by a Seafrigo employee. Raffa Dec. at 21. The statement highlights the difficulties that the Bakerly warehouses had in staffing their facilities which cause most of the detention and demurrage charges at issue. Raffa Dec. at 21.

Bakerly PFF 52. Seafrigo did not have diligent practices and procedures.

Response: Disputed. While ignoring the overwhelming weight of contemporaneous documentation reflecting that its warehousing system was so poor that truckers refused to deliver containers to its warehouses and that its warehouses were so grossly understaffed that they could not accept or unload containers, Raffa Dec. at 22. Bakerly refers to isolated, misleading instances involving truckers. Id.

- a. Seafrigo refusing an appointment at 4:30pm because that is too late for their drivers. CX00674

Response: Disputed. Bakerly fails to recognize that truckers' hours are governed by Department of Transportation (DOT) regulations. Raffa Dec. at 22. Thus, if a driver has been waiting all day to pick up a container at the terminal or has to wait for multiple hours

at the Bakerly warehouse for containers to be unloaded, it must comply with the DOT time limits for trucker's hours and cannot accept an appointment which will unlawfully extend its hours. Id. at 23.

- b. Seafrigo requested appointments from Bakerly's warehouse for containers that arrived on vessels over a week prior to the appointment request being sent; and Bakerly operations staff identifying driver problems unwilling to "drop" containers and insisting on live unloads after missing scheduled times. CX00508-37.

Response: Disputed. Seafrigo was given appointments at 10:30 and its truckers arrived early for their appointments. Raffa Dec. at 24. Additionally, it was Bakerly's chosen warehouse that created the burden of having to drop a container from New York to Pennsylvania, which is contrary to well accepted practice for multiple reasons, including driver hours, extra costs and driver capacity. Id. Despite the unreasonable conditions that were imposed, Seafrigo offered accommodations to be able to drop containers at this location as a convenience. Id. Unfortunately, the drop and pick program failed because the Bakerly warehouses were unable to timely empty containers allowing large amounts of demurrage and detention to accrue. SPPF 34-35.

- c. Seafrigo notified Bakerly that a container was supposed to be empty, but it was full and could not be picked up at the warehouse. Bakerly's warehouse responded that the container had been empty for a week. CX00863 (June 2021). Bakerly notified Seafrigo that it will not cover per diem on this container, and Al Raffa agreed. CX00868 (6/25/21).

Response: Not Disputed. This statement is correct. In this instance, Seafrigo took responsibility for not timely returning one empty container. EMCU5266325. As Bakerly knows, and as reflected in PFF 521, Seafrigo did not invoice Bakerly for the resulting detention charges.

- d. Seafrigo provided confusing and incorrect information (including incorrect container numbers) to Bakerly. CX01309 (10/11/21, 10/12/21).

Response: Disputed. There is nothing in the email exchanges referenced that indicates any incorrect information was provided. AR: PFF52dRaffa Dec. at 25. Instead, Seafrigo's dispatcher requested that the Jersey City location provide more delivery slots in order to avoid demurrage. Not surprisingly, the warehouse was unable to do so. Id. The email communications referenced also reflect the extraordinary hurdles faced in timely delivering containers so as to avoid demurrage charges because of the Bakerly warehouses' inability to receive them. Id.

- e. 53. Seafrigo's inability to pick up a container that was released at the port since 12/28/21. These are all communications from Seafrigo to the Bakerly warehouses and to Angela Vieira which underscore that drivers were unable to deliver the containers to the Allentown facility by 4:30 p.m. CX00451 (01/06/22).

Response. Disputed. *See* response to 52(a). Further, Bakerly chose warehouse that not only were unable to handle the volume of shipments required by Bakerly but also unable

to provide reasonable delivery appointment times in order for Seafrigo drivers to comply with DOT regulations. Raffa Dec. at 23.

- f. 54. Seafrigo stated that the D&D came primarily from two categories: “1) an inability to pick up containers from a port or terminal, or to return empty containers to the port or terminal, because of nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022; and/or 2) Bakerly’s warehousing system which was unable to accept containers when they arrived at the port or terminal, because Bakerly lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers.” CX01412.

Response: Not disputed.

Bakerly PFF 55. Seafrigo’s service was so poor that Bakerly moved all of their shipping needs to another NVOCC. CX01318, 1319.

Response: Disputed. Seafrigo provided quality service. Raffa Dec. at 143. Further, Bakerly’s decision to terminate its contract with Seafrigo reflected a bad faith tactical decision on its part in recognition of the fact that it could not seek to avoid paying millions of dollars advanced by Seafrigo while still simultaneously using Seafrigo as its primary transportation provider. Id.

Bakerly PFF 56. Seafrigo managed the communications related to these shipments because Seafrigo was responsible for the containers from port to door because these were door deliveries and Seafrigo was the NVOCC.

Response: Disputed. Seafrigo provided door service but pursuant to Seafrigo’s Tariff Rules, bill of lading terms and conditions, and the parties customary practices did not assume responsibility for detention and demurrage charges unless caused by Seafrigo itself. SPPF at 114. Further, contemporaneous documents reflect that Bakerly was directly involved in directing (and terminating) the actions of its warehouses. Raffa Dec. at 144.

Bakerly PFF 56(a).

- a. See CX00180, 300-302, 379; CX00483 (a last-minute request from Bakerly to deliver 4 containers to a new location (2 for same state and 2 for another state)).

Response: Disputed. The email exchanges clearly reflect that the four containers were diverted by Bakerly at the last minute to a new location. Raffa Dec. at 145.

Bakerly PFF 56(b) See also Seafrigo communicating directly with Bakerly warehouses. CX00391 (communication between Preferred Freezer Linden, NJ and Seafrigo regarding containers not being delivered to the warehouse despite being on Seafrigo’s delivery list).

Response: Disputed. It was not uncommon for Seafrigo to have to reschedule containers due to capacity issues. Raffa Dec. at 146. Such last-minute diversions inevitably resulted in some containers not being timely delivered. Id. The majority of the charges at issue were

a direct result of inadequate and understaffed warehouses. Id. At one point the situation became so dire that Bakerly instructed Seafrigo to stop delivering its container and to report that it had terminated its relationship with a primary warehouse despite expressly acknowledging that its decision would result in detention and demurrage charges accruing. SPPF at 73.

Bakerly PFF 57. Seafrigo failed to properly communicate the status of containers.

- a. CX0000413; CX00984 (on 9/29/21 Bakerly requested status update on the containers and Seafrigo replied that containers have been released since 9/23/21, and Bakerly knew containers had been at the port from 9/23/21 to 9/29/21 accruing demurrage and still not delivered to the final destination).

Response: Disputed. As reflected therein, the Bakerly employee instructed Seafrigo to please “send us the DO [Delivery Order] and pay demurrage. I have drivers ready and use your trucking company to deliver the rest of that list.” The email reflects that Seafrigo was fully prepared to perform as needed. Raffa Dec. at 147.

- b. CX0000441 (October 2021 email showing the warehouse Honor Foods Philadelphia, PA asking Seafrigo for a status update on containers that were supposed to be delivered to their facility because no appointments had been requested while the containers were already at the port. To make up for the delay Seafrigo is asking Bakerly if they can deliver without a genset which Bakerly logically does not allow for frozen food products. The communications also indicate an admission that a container (MSCU7313831) had already been at Seafrigo’s “for a few days”).

Response: Disputed. While there is extensive communication between Seafrigo, Honor Foods and Bakerly relating to the delivery appointment process and prepulling of containers without gensets, Seafrigo’s dispatcher states that: “We have availability to prepull” containers. As Seafrigo advised on numerous occasions, it was prepared to have its truckers pull containers when there were no gensets at terminals through no fault of Seafrigo. Raffa Dec. at 148. This was commonly done by Seafrigo so as to help its customer avoid paying detention and demurrage as a result of having to wait for equipment to possibly come available at a later date. Id. Here, Seafrigo was making a concerted effort to pick up containers (prepull) and store them in its yard as a way to help its customer avoid further detention and demurrage charges from accruing. Id.

- c. CX01002 (10/2021 email in which Seafrigo delayed delivering container: Seafrigo stated it would be delivered the next day and then on the next day, stating that it would not be delivered. No further explanation as to cause).

Response: Disputed. Because more than one container is referenced in the email it is unclear what specific container is being referenced regarding a specific delivery date. Raffa Dec. at 149. It is clear from the email, however, that Bakerly’s Easton Pennsylvanian warehouse location was unable to accept more than one container per day.

“It is hard to deliver 2 containers to our plant the same day” thus further evidencing that the Bakerly’s warehouses were unable to receive and unload containers on time. Id.

- d. CX00427 (November 2021 email shows that Seafrigo’s carriers did not show at their original delivery appointment at Preferred Freezer La Porte, TX while the warehouse was securing plugs for the containers due to Seafrigo’s inability to secure gensets. The warehouse is complaining about the lack of communication from Seafrigo drivers).

Response: Disputed. The CX00427 email exchange cites 4 separate container numbers. PFF57d is unclear regarding the allegation as it fails to show the original delivery appointment. Further, the email exchange, to Seafrigo’s trucker clearly indicated that the trucker can drop all 4 containers mentioned in CX00427 on 11/11 which is LFD (last free day). As already stated in numerous responses above, there were equipment shortages that plagued the industry during this time period. Raffa Dec. at 150. Seafrigo proactively offered to pickup the containers without the genset as a means to avoid Bakerly having to pay detention and demurrage charges. Id.

- e. Seafrigo billed Bakerly for a container that never left France. Bakerly is unable to confirm if they are related to detention or demurrage because Bakerly never received them. (CX00596; CX00601)

Response: Disputed. This statement is impossible to answer as Bakerly does not reference the Bakerly PO number, Seafrigo Invoice number and/or the container number in question. Raffa Dec. at 151.

- f. Seafrigo failed to send some invoices to Bakerly. CX00596-97, CX00602.

Response: Disputed. This is impossible to answer because the documents cited do not mention the Bakerly PO number, Seafrigo Invoice number and/or container number in question. Seafrigo asserts, however, that invoices were issued by Seafrigo to Bakerly for each of the invoices for which Seafrigo seeks payment from Bakerly. The references in Round 1 and 2 to no spreadsheet merely reflects that there were no separate communications regarding those specific invoices.

- g. Email chain from Sunteck TTS urging Seafrigo to schedule pick up of containers before LFD expires on 1/19/22 with no response from Seafrigo until 2/3/22. CX00639.

Response: Disputed. The email exchange cited in CX00639 reflects that the containers were on USDA Hold and therefore Seafrigo could not pick up the containers and deliver them. Raffa Dec. at 152. Also Bakerly neglected to mention key timelines relating to all of these containers mentioned in this email exchange particularly the ETA of the vessel being 1/28/2022, the Last Free Day at the port being 2/4/2022. Id. The email also does not reflect the daily report the Bakerly team was receiving which indicated ETA’s, outgate date, delivery appointment dates, which conveyed status reports. Id.

PFF 58. By January 2022, Bakerly determined that Seafrigo failed to diligently service Bakerly's containers on door delivery because Seafrigo had been running its business under capacity as to truckers, clerical staff, and that their internal software was unable to provide current solutions to the issues which Bakerly had been experiencing with Seafrigo. CX00022.

Response: Disputed. Seafrigo operated at high efficiency in light of the extraordinarily difficult circumstances presented which included, *inter alia*, unprecedented port congestion, a chronic shortage of chassis and gensets, warehouses that lacked space and personnel to accept and unload containers, and a nationwide shortage of truckers, which shortage was compounded by the fact that truckers refused to deliver containers Bakerly warehouses because of the inordinate amount of time required to drop off and pick up containers. SPPF at 22. Further, Seafrigo's software in no way contributed to the detention and demurrage charges at issue. Raffa Dec. at 153.

Bakerly PFF 59. This was stated at a meeting in Miami at that time between Bakerly and Seafrigo's USA CEO at which the following persons participated: Jérôme Lorrain: CEO Seafrigo USA; Fabian Milon: COO Bakerly; Charles Lefort: VP, Supply Chain Bakerly; Angela Vieira: Director, Supply Chain Bakerly. CX00022.

Response: Disputed. Seafrigo is unsure what purported statement Bakerly is referring to but denies that it failed to operate in a diligent manner. Raffa Dec. at 154. The trucking situation was described completely and openly at the meeting. On the day before Christmas, in 2021, Mr. Caron the CEO of Bakerly contacted Jerome Lorrain the CEO of Seafrigo and asked that held containers be released. Lorrain Dec. at 8. At that time, Seafrigo had insufficient funds (due to Bakerly not having paid its invoices) to obtain their release. Lorrain Dec. at 9. Nonetheless, in another gesture of goodwill, Seafrigo made extraordinary efforts to raise the necessary funds to pay the terminals and obtain the release of the containers so as to allow Bakerly to continue its operations. Lorrain Dec. at 10.

Bakerly PFF 60. In January 2022, Bakerly learned from Seafrigo's CEO information that explained the history of fiascos experienced by Bakerly:

- a. That Seafrigo bought 30 trucks at the beginning of the year but could not find 30 drivers; at that time Seafrigo still had 10 trucks which were not running;
- b. That Seafrigo required the capacity to pull 60 containers per day but at that time they could only do 20;
- c. That Seafrigo had just migrated from their old software system to a new Cargo Wise system, which allowed Seafrigo to now be able to monitor LFD (Last Free Day) factors, an important element for planning purposes to avoid not only demurrage, but an accumulation of demurrage once demurrage commences;
- d. That during the migration from the old system to the Cargo Wise system Seafrigo had lost track of some containers which created a backlog and containers were left at the port for an unnecessary amount of time. The clear conclusion from this was

that Seafrigo was failing miserably in performing with a satisfactory level of due diligence.

CX00022.

Response: Disputed.

- a) Seafrigo admits that at the time it sought to purchase another 30 trucks but due to market conditions the trucks were not able to be delivered until later 2022. Lorrain Dec. at 19. Seafrigo kept Bakerly fully informed of the situation. Id. Bakerly did not indicate that it was not going to pay Seafrigo as a result of the market conditions, nor did the lack of additional truckers or drivers prevent Seafrigo from performing. Id.
- b) The need for drivers fluctuated. Raffa Dec. at 155. The congestion at the ports and terminals dramatically reduced the number of moves which could be performed. Id. This included the lack of chassis and gensets available. Id. At that time, as it had done previously, Seafrigo invited Bakerly to look for additional dray capacity if it thought it was required. Id. Bakerly declined the invitation and instead simply failed to pay Seafrigo for services provided. Id.
- c) The new Cargo Wise System in no way caused or contributed to the charges at issue. Instead, they were caused by the Bakerly warehouses and the extraordinary market conditions. Raffa Dec. at 156.
- d) Seafrigo never lost track of any container, all of which were delivered. All containers were registered in either or both systems during the conversion. Raffa Dec. at 157.

Bakerly PFF 61. In view of the clear lack of due diligence by Seafrigo in meeting its door delivery services, Bakerly signed with a CEVA logistics company to provide the ocean, trucking and U.S. Customs clearance services with CEVA companies to give them a portion of Seafrigo's containers at this time. CX00020.

Response. Seafrigo denies that it lacked diligence. Raffa Dec. at 158, The transfer to CEVA was made after the market had largely recovered and when congestion was greatly reduced. Id. Further CEVA is owned by the carrier CMA (which transported much of Bakerly's goods) and thus afforded it operational priority. Id.

Bakerly PFF 62. Note a telling comparison for a period in October 2021 when both Seafrigo and CEVA removed containers during the same time period from the same terminal, Maher Terminal. There were zero charges for the CEVA activity and \$60,292.24 in demurrage and per diem charges accrued by Seafrigo. CX00020.

Response: Seafrigo denies that the situation involving CEVA and Seafrigo were comparable. Raffa Dec. at 159. CEVA is owned by CMA which provided much of the VOCC services for Bakerly and assessed much of the demurrage and detention charges at issue. Id.

Bakerly PFF 63. CEVA's far superior performance at the same time and place as Seafrigo proved to Bakerly that Seafrigo had not been operating with due diligence in the timely collection of loaded containers and the return of empty containers. CX00022; *see also* CX00276-78 (Bakerly comparison of detention and demurrage charges between CEVA and Seafrigo).

Response: Disputed. Seafrigo denies that the situation involving CEVA and Seafrigo were comparable and that Seafrigo lacked diligence. Raffa Dec. at 160. Also, *see* Response to PFF 62.

Bakerly PFF 64. An 10/5/21 email outlining containers that are still at the port. Bakerly, even though not required to do so, since it is shorting a strategic customer, decides to look for its own drivers to pick up the containers left at the port by Seafrigo since released on 9/23/21. This is an example of recurring misinformation on which Seafrigo relied and which it provided to Bakerly. CX00413.

Response: Seafrigo admits that in one instance Bakerly hired two drivers to deliver its cargo. Raffa Dec. at 161. In over one thousand other instances, Seafrigo hired drivers to deliver Bakerly cargo. Id. Seafrigo does not know what misinformation Bakerly is referring to and therefore denies same. Id.

Bakerly PFF 65. In a parallel phone conversation between Angela Vieira (Director, Supply Chain Bakerly) and Nathalie Pinçon-Daniel (International Export Sales Director Seafrigo France), Nathalie mentioned to Angela that Seafrigo USA needed to hire more people just like Seafrigo France did to be able to serve the Bakerly account to the expected service level. It became very clear to Bakerly from these conversations that the large demurrage and detention numbers were directly related to the deficiencies in the Seafrigo operations. CX00022. *See* CX 00258-59 shows a request from Angela Vieira (Director, Supply Chain Bakerly) to exchange on the phone with Nathalie Pinçon-Daniel (International Export Sales Director Seafrigo France). In the phone conversation that followed that email, Nathalie mentioned to Angela that Seafrigo US needed to hire more people just like Seafrigo France did to be able to serve the Bakerly account to the expected service level.

Response: Disputed. The detention and demurrage charges were not related to any purported deficiencies in Seafrigo's program. Raffa Dec. at 162.

Seafrigo's Inability to Track Their Own Work

Bakerly PFF 66. Seafrigo produced a spreadsheet with analysis provided for 1,037 lines of charges. CX01291.

Response: Not disputed.

Bakerly PFF 67. This document was produced three times and Seafrigo failed to identify the changes in the spreadsheet. CX01291 (produced on 4/14/23, referred to herein as "Round 2"); CX01164 (produced on 4/4/2023, referred to herein as "Round 1"); CX01010 (produced on 4/4/2023).

Response: Disputed. The parties discussed not disputing invoices reflecting smaller amounts of charges (less than \$1,000 and/or less than \$2,500) so as to avoid unnecessarily burdening the Commission and the parties with having to address almost 1,000 invoices. Collins Dec. at 3. Although initially tentatively supporting the proposal, Bakerly ultimately decided it wanted the Commission to consider evidence regarding all of the invoices no matter the amount. Id.

Bakerly PFF 68. Round 2 involved a review of invoices of \$2,500 or less, which had not been covered in Round 1. But Round 2 also appears to have involved a re-review of invoices greater than \$2,500 that Seafrigo had already reviewed in Round 1. Seafrigo fails to provide any rationale or cite any produced documents for the change in analysis that led to it being responsible for \$8,943.50 fewer charges. CX01322.

Response. Seafrigo admits that what Bakerly refers to as Round 2 in which it reviewed invoices for smaller amounts allowed Seafrigo to identify \$8,943.50 more charges for which Bakerly was responsible than Round 1. SPPF

Commented [JHK1]: This issue is outstanding.

Bakerly PFF 69. In Round 1, Seafrigo identified that it was at fault for \$168,792.58 worth of charges, but in Round 2, Seafrigo identified that it was only at fault for \$159,849.08. Thus, after Seafrigo reviewed additional invoices, it found that it was at fault for fewer charges. And Seafrigo provides no information to explain this change. It seems that a credit that was not accounted for in Round 1 may have been added to Round 2 for -\$9,522.00 and a charge of \$578.50 that they added in Round 2. But this explanation is based on Bakerly's analysis because no explanation was provided by Seafrigo. CX01322.

Response: Not disputed except that Seafrigo provided labeled folders referring to the Seafrigo Invoice number so as to permit Bakerly to identify which supporting documents related to which Seafrigo invoice. Raffa Dec. at 163.

Bakerly PFF 70. Seafrigo also added \$1,487.17 worth of transactions that were not present in the original claim. Again, no information is provided for how the total of Bakerly's claim increased by \$1,487.17. CX01323.

Response: Disputed. Seafrigo does not understand what \$1,487.17 Bakerly is referring to as a new transaction. Raffa Dec. The transactions in dispute were originally identified by Bakerly in spreadsheet it provided. Seafrigo is unable to identify any additional transactions or to identify the relatively minuscule \$1,487.17 referenced.

a. 71. The spreadsheet contains the following columns:

- a. Year
- b. Month
- c. Quarter
- d. Internal #
- e. Seafrigo #
- f. Charge Description
- g. PO #
- h. Invoice Amount

- i. Invoice Type
- j. Invoice Status
- k. Paid Amount
- l. Paid Date
- m. Claimed Amount Letter
- n. Approved Amount Discovery
- o. Claimed Amount Discovery
- p. Snowstorm Amount
- q. Duplicated Pos Amount
- r. PH2 – Invoice Amount
- s. PH 2 – Seafrigo Invoice sent
- t. PH 2 – Payment Receipt
- u. PH 2 – Invoice / MTO Proof
- v. PH 2 – Email with backup sent
- w. PH 2 – What Back up sent
- x. PH 2 – Method Sent
- y. PH 2 – Operator Assigned
- z. PH 2 – Notes
- aa. PH 3 – Cause of charge
- bb. PH 3 – Backup Available
- cc. PH 3 – Bakerly Notified
- dd. PH 3 – Payment Receipt
- ee. PH 3 – Notes
- ff. PH 3 – Name
- gg. PH 3 – Seafrigo Job#
- hh. PH 3 – Destination Whse

CX01323.

Response: Not disputed.

Bakerly PFF 72. Columns ‘a’ to ‘q’ (as listed in Bakerly PFF 71) were originally provided by Bakerly to Seafrigo through discovery. CX01323.

Response. Not disputed.

Bakerly PFF 73. Specifically, the spreadsheet assigned a “Cause of charge” in column AA, and two columns of Notes in column Z (“PH 2 – Notes”) and Column AE (“PH 3 – Notes”). CX01323.

Response: Not disputed.

Bakerly PFF 74. A PivotTable helps to analyze a table of data in Microsoft Excel. PivotTables identify, based on data points in one column, what data exist in another column. CX01323.

Response: Seafrigo is not privy to the analysis purportedly performed by Bakerly, which Bakerly fails to explain. SPPF

Bakerly PFF 75. Based on the spreadsheets produced by Seafrigo (Bakerly PFF 66), Bakerly used PivotTables to identify, based on each “Cause of charge,” what notes Seafrigo had included in “PH 2 – Notes” and “PH 3 – Notes.” CX01323.

Response: Seafrigo is not privy to the analysis purportedly performed by Bakerly, which Bakerly fails to explain. SPPF

Bakerly PFF 76. The PivotTables are included in [SUI003470_bakerly Analysis]. CX01406. With each PivotTable included in a new tab. CX01323.

Response: Not disputed.

Bakerly PFF 77. Seafrigo lists the following items under “Cause of charge”:

- a. Bakerly Warehouse.
- b. N/A.
- c. Snowstorm.
- d. Later Return of empty container.
- e. Lack of Trucker/Drive Capacity.
- f. Seafrigo Fault
- g. US Customs hold.
- h. CLIENT WAS ADVISED BY BLAST EMAIL THAT DUE TO MARKET CONDITIONS AT THE TIME THAT DEMURRAGR OR PER DIEM MAY APPLY (referred herein as “BLAST EMAIL MARKET CONDITIONS”).
- i. STEAMSHIP LINE.
- j. PORT CONGESTION.
- k. GENSET STORAGE.
- l. SEE NOTES.

CX01324.

Response: Not disputed except that Seafrigo later consolidated the “Cause of Charge” on the PIVOT tab to have a cleaner view. The items under b/h/l were consolidated under “Other /Cannot Confirm.” Raffa Dec. at 165.

Bakerly PFF 78.

	Round 2	Round 1	Round 2 vs Round 1
Cause of charge	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced
Bakerly Warehouse	\$ 1,532,512.48	\$ 1,332,235.49	+\$200,276.99
N/A	\$ 470,552.59	\$ 733,566.31	-\$263,013.72
Snowstorm	\$ 361,178.54	\$ 361,178.54	+\$0.00
Late Return of empty container	\$ 191,267.69	\$ 151,028.15	+\$40,239.54
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 176,832.50	+\$742.00
SeaFrigo Fault	\$ 159,849.08	\$ 168,792.58	-\$8,943.50
US Customs hold	\$ 68,745.59	\$ 49,841.72	+\$18,903.87
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ -	+\$4,758.97
STEAMSHIP LINE	\$ 3,712.50	\$ -	+\$3,712.50
PORT CONGESTION	\$ 2,120.12	\$ -	+\$2,120.12
GENSET SHORTAGE	\$ 1,901.40	\$ -	+\$1,901.40
SEE NOTES	\$ 789.00	\$ -	+\$789.00
Grand Total	\$ 2,974,962.46	\$ 2,973,475.29	+\$1,487.17

In the above table, Bakerly compared the Cause of Charge that Seafrigo provided between Round 1 and Round 2 by showing the sum of the invoice amounts for each Cause of Charge category. CX01325.

Response: Disputed. Seafrigo is not privy to the analysis purportedly performed by Bakerly. Seafrigo asserts that after further review, which included analysis of the smaller invoices issued, it identified the charges owed by Bakerly as reflected in Round 2. Seafrigo further submits that the \$470,552.59 listed as N/A were as result of Port Congestion which was not caused by Seafrigo and events beyond Seafrigo's control.

Bakerly PFF 79. There are numerous nonsensical conclusions drawn by Seafrigo in the spreadsheet based on a comparison of the "Cause of charge" and the other columns. Bakerly has identified these conclusions based on the facts provided by Seafrigo and the use of PivotTables to identify Seafrigo's facts. CX01325.

Response: Disputed. The calculations and conclusions drawn by Seafrigo are in no way nonsensical. Raffa Dec. at 166. The calculations instead reflect a review of the data and a careful analysis of the reason for the detention and demurrage charges accrued. SPPF at 138. The charges were attributed to categories based upon the shipping records or by contemporaneous communications regarding the shipments. Id. For example, if a container arrived at a terminal on X date and the Bakerly warehouse failed to schedule it for delivery until 10 days later, Seafrigo properly assessed the resulting demurrage as caused by Bakerly. Raffa Dec. at 166. Further, Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly. Id. Based upon its careful analysis, Seafrigo determined that it was at fault for \$159,849.08 of the detention and demurrage charges at issue. This amount was based upon instances where Seafrigo failed to schedule the pickup or return of containers. Id. Seafrigo is not privy to whatever analysis, if any, Bakerly may have performed on the data. Id.

Bakerly PFF 80. For example, through discovery (Bakerly PFF 86), Bakerly identified that it caused \$198,551.87. This amount should have been reflected at 100% in the "Bakerly Warehouse" cause of charge identified by Seafrigo, but it is not the case. Even after

Discovery and agreement by Bakerly on its own responsibility, Seafrigo remains unable to hold a clear and reasonable account. Analysis below shows that this amount is split across all categories including \$16,040.37 in the “Seafrigo Fault” and \$109,695.42 in the unidentified cause of charge:

PH 3 - Cause of charge	Seafrigo Amount Invoiced	bakerly Amount Approved in Discovery
Bakerly Warehouse	\$ 1,532,512.48	\$ 25,793.67
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ 1,487.17
GENSET SHORTAGE	\$ 1,901.40	\$ -
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 2,629.33
Late Return of empty container	\$ 191,267.69	\$ 42,905.90
N/A	\$ 180.00	\$ -
PORT CONGESTION	\$ 2,120.12	\$ -
SeaFrigo Fault	\$ 159,849.08	\$ 16,040.37
SEE NOTES	\$ 789.00	\$ -
Snowstorm	\$ 361,178.54	\$ -
STEAMSHIP LINE	\$ 3,712.50	\$ -
US Customs hold	\$ 68,745.59	\$ -
#N/A	\$ 470,372.59	\$ 109,695.42
Grand Total	\$ 2,974,962.46	\$ 198,551.87

CX01325.

Response: Disputed. Bakerly has provided no explanation or analysis as to how it reached the \$198,551.87 figure referenced. Raffa Dec. at 167. Bakerly’s figure greatly underestimates the charges resulting from the fact that its warehouses were grossly understaffed and unable to accept or unload containers. Id. Bakerly apparently failed to account for the fact that at one point it reported that it terminated its relationship with Lineage, SPPF at 145. Later, Bakerly apparently was so desperate for warehousing services that it renewed its relationship with Lineage despite the abysmal service that led to its termination. Raffa Dec. at 167. Upon renewal of its relationship, Lineage admitted at one point that it had had more than 80 workers absent from work. SPPF at 101. Bakerly’s gross underestimation of the charges attributable to Bakerly may be a product of the fact that Bakerly erroneously thought that the personnel shortages plaguing its warehouses were Seafrigo personnel shortages. See Bakerly PFF 51. Further, Seafrigo supplied supporting documents in folders to indicate what charges result from the Bakerly warehouse’s inability to accept containers and unload containers on time. SPPF at 138.

Bakerly PFF 81 Another example, for charges that Seafrigo assigned to “Bakerly Warehouse” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Bakerly Warehouse”):

- a. Total is for 499 transactions (vs 243 transactions in round 1) amounting to \$1,532,512.48 (vs \$1,332,235.49 in round 1);

- b. For 101 transactions (vs 18 in round 1) amounting to \$133,420.59 (vs \$72,417.62 in round 1) are left without notes as to why Seafrigo identified those charges as caused by Bakerly Warehouse.
- c. In 193 transactions (vs 138 in round 1) amounting to \$880,597.20 (vs \$805,942.72 in round 1) (57% of all charges identified as caused by “Bakerly Warehouse”), Seafrigo provided the note as “CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY.”
- d. Thus, the balance of transactions was 205 (vs 87 in round 1) amounting to \$518,494.69 (vs \$453,875.15 in round 1), in which fault could potentially be assigned to Bakerly Warehouse.

CX01325.

Response: Disputed. In Round 2 Seafrigo addressed numerous invoices for smaller amounts. Raffa Dec. at 168. Not surprisingly, this resulted in a larger number of transactions for which Bakerly was responsible and more amounts Bakerly owed. Id. In regard to the comments on “NOTES”, the excel sheet was a device to summarize all line items so that Seafrigo could easily identify the data into its respective categories. Id. The details were all placed in the Folders properly labelled with the Seafrigo Invoice Number so that all data could be easily retrieved. Id. Somewhat astonishingly, Bakerly complains that it should not have to spend the time the time to review those folders. Id.

Regarding the notation that “CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY,” this was included to disprove Bakerly’s contention that it did not know it was responsible for per diem/demurrage charges. Raffa Dec. at 169.

Bakerly PFF 82. Seafrigo assigned “Seafrigo Fault” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Seafrigo Fault”). Seafrigo provided the following notes on these charges:

- a. Caused due to the time gap between Kizzy leaving and Imports taking over account. Trucker reached out to Kizzy for delivery appointment, but Kizzy never responded causing a delay in action.
- b. Dispatched 1+ week after ETA.
- c. DISPATCHED 2 WEEKS AFTER ETA.
- d. Dispatched 2+ weeks after ETA.
- e. Dispatched 20 days after ETA.
- f. Dispatched 20 days after ETA.

- g. Dispatched 3 weeks after ETA.
- h. Dispatched 3+ weeks after ETA.
- i. Dispatched on time, however Operator failed to schedule delivery appt timely.
- j. Dispatched several days after ETA.
- k. Dispatched several days after ETA.
- l. Dispatched two weeks after ETA.
- m. It looks like this was only dispatched a week after ETA causing demurrage at the port.
- n. Kizzy did not follow up timely for delivery appointment with Warehouse.
- o. SEAFRIGO WRONGLY BILLED.
- p. This container was dispatched after the ETA.
- q. This container was dispatched after the ETA.
- r. This container was dispatched after the ETA. No other emails found.
- s. This is a credit.
- t. Trucker/Seafrigo reached out for delivery appointment 1+ week after delivery date.
- u. Ultimately caused due to dispatching container 2 weeks after ETA
- v. Ultimately caused due to SF reaching out for delivery appt very late after ETA date. Pre pulled until delivery date.
- w. “Whse didn’t notify the trucker of empty until 2/17”

CX01326.

Response: Seafrigo does not dispute that it is not seeking recovery for the items listed.

PFF 83. Seafrigo assigned “Unidentified” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Unidentified”):

- a. 240 transactions (vs 577 in round 1) amounting to \$471,341.59 (vs \$733,566.31 in round 1) are left as unidentified by Seafrigo in the cause of charge.

Response: Disputed. As set forth above, in Round 2 Seafrigo addressed numerous invoices issued for smaller amounts. This resulted in a larger number of transactions for which

Seafrigo engaged in analysis and identified the reason the detention and demurrage charges were assessed. Raffa Dec. at 170.

- b. Seafrigo provided information in the spreadsheet that indicates a lack of due diligence related to the tracking of containers and billing process.
 - i. Seafrigo identified that for \$94,660.25 worth of invoices, the invoice was not sent. See Column “PH 2 – Seafrigo Invoice sent”. This is Seafrigo’s fault.

Response: Disputed. The invoice is in Bakerly’s possession, along with supporting documents. Raffa Dec. at 171.

- ii. Seafrigo identified that for \$760,169.17 worth of invoices, Bakerly was not notified. See Column “Bakerly Notified”. This is Seafrigo’s fault.

Response: Disputed. All of the invoices in dispute are in Bakerly’s possession, along with supporting documents. Raffa Dec. at 173.

- iii. When Seafrigo identified that backup was sent, the backup that is identified is insufficient. See Column “PH 2 – What Backup sent”. Seafrigo does not identify *what* backup was sent.

Response: Disputed. Where the spreadsheet reflects “back up sent” Seafrigo supplied supporting documents establishing the same in the folders that match the Seafrigo Invoice Number. Raffa Dec. at 172. Further, as Bakerly itself concedes, the information sought was publicly available. See footnote 1 of Bakerly Proposed Finding of Fact.

- c. Under Column “PH 2 – Notes,” Seafrigo produced the following notes that indicate certain practices for the “Unidentified” transactions:
 - i. No email back to customer was found.: \$179,289.45.

Response: Disputed. There was no requirement that a backup be sent with every invoice issued. Raffa Dec. at 173. All the invoices in dispute are in Bakerly’s possession, along with supporting documents. Raffa Dec. 173. Further, as Bakerly itself concedes, the information sought was publicly available. See Bakerly PFF footnote 1 herein.

- ii. Demurrage for this file was paid 3 diff. times for 3 diff. amounts: \$7,927.00.

Response: Disputed. Four separate invoices, for different amounts on different dates and for different charges, were issued. Raffa Dec. at 174. The invoices were all properly issued and for accurate pass through amounts. Id.

- iii. In looking at the file I have reason to believe that we did in fact double bill the client on the demurrage and incorrectly double posted the same cost to the file. It is not a loss, it just needs to be credited from the file. MCN 2/2/23 SSFN21005156 explained to A1 there is a dup charge of \$3650 on the file but no proof of paying twice: \$3,659.50.

Response: Not disputed. The invoice overcharged Bakerly for \$3,650, which amount is not being sought and will be credited. Raffa Dec. at 175.

- iv. Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023: \$24,888.00.

Response: Disputed. Seafrigo does not know what the \$24,888.00 is referencing. Raffa Dec. at 176. The invoice is in Bakerly's possession, along with supporting documents.

- v. No proof on website that this was actually paid: \$1,389.00.

Response: Disputed. The amount was paid by Seafrigo Raffa Dec. at 176.

- vi. Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05577-03 is included in this mass payment rcpt: \$7,565.00.

Response: Disputed. Seafrigo made a large payment via Paycargo, \$7,565.00 of which was on behalf of Bakerly. Raffa Dec. at 177. Bakerly was properly invoiced for that amount. Id.

- vii. Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05674-03 is included in this mass payment rcpt: \$7,888.00.

Response: Disputed. Seafrigo made a large payment via Paycargo, \$7,888.00 of which was on behalf of Bakerly. Raffa Dec. at 178. Bakerly was properly invoiced for that amount. Id.

- viii. The Additional \$4300 may not be valid. There is no receipt available to prove it was actually paid out. May be a dup.: \$17,820.00.

Response: Partially Disputed. Seafrigo has proof of 3 payments totaling \$14,768. Raffa Dec. at 179 Seafrigo currently lacks proof of payment of the remaining \$3,052. If Seafrigo had not paid the amount invoiced by the MTO, the container would not have been released. Id.

- ix. This is not a Bakerly file. Customer: Overseas: \$3,037.55

Response: Disputed. Bakerly listed a file for which Seafrigo has no record. Raffa Dec. at 180. Seafrigo has no knowledge of this invoice, has never issued an invoice related to it, and is not seeking recovery of that amount. Id.

- x. Seafrigo identifies that backup was not sent for many invoices:
 - 1. Seafrigo identified that for \$865,179.15 worth of invoices, the backup was not sent. See Column "PH 2 – Email with backup sent".

Response: Disputed. There was no requirement that a backup be sent with every invoice issued. Raffa Dec. at 181. Further, all of the invoices in dispute are in Bakerly's possession, along with supporting documents. Id.

2. \$579,391.53 worth of invoices identified as "NO". See Column "Backup Available"

Response: Disputed. The Bakerly Notified category refers to whether there were follow up communications regarding a particular invoice issued to Bakerly. Raffa Dec. at 182. It does not necessarily reflect that no invoice was issued or received. Further, all of the invoices in dispute are in Bakerly's possession, along with supporting documents. Id.

- ii. Additionally, Seafrigo identifies the following nonsensical items in Column "PH 3 – Notes."
 1. Billed on dummy file. Unable to find proof of any per diem payment in CW or IES.: \$1,245.00.
 2. BRIDOR SHIPMENT: \$44.00.
 3. Cannot locate anything on this.: \$4,849.00.

Response: 1-3, it is not disputed that comments are included in the Notes Section.

4. I do not find an email where Kizzy directly tells Bakerly about demurrage, but they were aware of the issues all the way through \$7,888.00.

Response: Bakerly was fully aware that demurrage charges were being assessed when containers were not timely picked up. Raffa Dec. at 184.

5. IN ADDITION TO CUSTOMS HOLD THE SSL TOOK A LONG TIME TO SEND US DEMURRAGE INVOICES AND TOOK LONGER TO UPDATE THE TERMINAL WITH THE RELEASE. BY THE TIME THE TERMINAL WAS UPDATED IT WAS TOO LATE FOR THE CARRIER TO PICK UP THE CONTAINER.: \$36,171.07.

Response: Seafrigo has no control over when Customs issues holds or when SSLs issue demurrage invoices. Raffa Dec. at 185. Charges resulting from Customs holds and demurrage invoices issued by SSLs are not the responsibility of Seafrigo. SPPF at 109.

6. OVERSEAS: \$3,037.55

CX01326-28.

Response: Disputed. Bakerly listed a file for which Seafrigo has no record. Seafrigo has no knowledge of this invoice, has never issued an invoice related to it, and is not seeking recovery of that amount. Raffa Dec. at 186.

Bakerly PFF 84. Seafrigo failed to provide a link between a corresponding/supporting document that would support/justify the claims/notes/comments made by Seafrigo in the excel spreadsheets for the over 3,000 pages of documents produced. If the supporting documentation is included in the thousands of emails/documents provided by Seafrigo, it is impossible to expect that Bakerly should do the work of searching through all the documents to possibly link them to the transactions in the excel file. CX01328.

Response: Disputed. Seafrigo was asked to provide supporting documents related to 1037 lines of disputed invoices and it did so. Raffa Dec. at 187. Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly. Raffa Dec. Much of this information was previously in Bakerly's possession and reflects communications between the parties and the Bakerly warehouses regarding the warehouse's inability to timely accept or unload containers. Id.

Bakerly PFF 85. Seafrigo claimed \$102,810.46 in freight charges that were actually D&D. CX01328.

Response: As reflected in Bakerly PFF 50 only \$38,184.50 in freight charge remains unpaid.

Bakerly's failures

Bakerly PFF 86. Upon review of Bakerly's files, Bakerly determined that \$198,551.87 of demurrage and detention can be attributed to failures of Bakerly's warehouses or staff (based on last minute changes to delivery location) for a collection of invoices from July 20, 2021, to October 8, 2021. CX00296, CX00225 (subsequently updated by CX00499-500, CX 00568 (Bakerly has added the receiving warehouse was in column "N." All transactions marked as "Lineage Allentown PA" and "Honor Foods Philadelphia PA" represent the charges that were assessed as a result of Lineage Allentown, PA performances and that Bakerly has agreed without prejudice to remove from the claim fully or partially)); CX00499, CX00545 from April 2021 (conversation between Al and Angela about the current labor shortage and actions taken by Bakerly to help); CX00552-67 from May 2021 (conversation between Bakerly and Lineage Allentown, PA regarding the performance issues).

Response: Disputed. Bakerly fails to provide any meaningful calculations as to how it was able to conclude that only \$198,551.87 of the disputed detention and demurrage charges are its fault. Raffa Dec. Incredibly, it appears to largely limit the charges falling in that category to invoices issued between July and October. Raffa Dec. at 188. This is baseless given that, as reflected in Seafrigo's Supplemental Statements of Fact, Bakerly warehouse deficiencies date back to December of 2020, throughout 2021 and into early 2022. Id. Indeed, prior to July of 2021, Bakerly and Seafrigo had already implemented and then abandoned the disastrous drop and pick program. SPPF at 34. Both the adoption and the

subsequent abandonment were a result of the fact that the Bakerly warehouses could neither accept nor unload containers in a time period required to avoid the accumulation of detention and demurrage charges. SPPF 33; 34; 35. Bakerly also seeks to trivialize the global pandemic that has crippled the world economy for close to 2 years, leading to overwhelming capacity issues, port congestion, and lack of equipment. Raffa Dec. at 189.

Bakerly PFF 87. Bakerly identified documents relating to Bakerly being unable to accept or store goods at its warehouses in emails regarding container CRXU6958355 from February 26, 2021. CX 00262-75.

Response: Not disputed.

Bakerly Repeatedly and Continually Requested Additional Information and Backup Documentation from Seafrigo

Bakerly PFF 88. Bakerly repeatedly requested backup information from Seafrigo, to include the underlying invoices to substantiate the invoices from Seafrigo. CX00628 (2/17/22).

- a. Bakerly notified Seafrigo that if information is not shared in real time, Seafrigo is not able to track containers correctly, Seafrigo is responsible for “find[ing] drivers to take the containers from the port”, Seafrigo is failing to retrieve empty containers in time, D&D invoices are not provided with supporting documentation in 1/28/22 email CX00630;
- b. 1/1/22 to 2/10/22 Bakerly requesting backup documentation via email CX00634.
- c. Bakerly requested information on containers and requested responses to overdue emails. CX00850-55 6/16/21.
- d. Bakerly requested backup documentation for invoices. CX00696 9/19/21; CX00718 2/28/21; CX00500-01.

Response: Seafrigo provided invoices and documents to Bakerly in real time SPPF at 183. Further, as Bakerly itself concedes, the information sought was publicly available. *See* Bakerly PFF footnote 1 herein.

Bakerly PFF 89. Seafrigo provided some minimal backup documentation. CX00730-34.

Response: Disputed. Seafrigo denies that it provided minimal backup documentation. Raffa Dec. at 190. Seafrigo provided invoices and backup documents throughout the course of the parties’ business relationship. SPPF at 140.

Bakerly PFF 90. Bakerly requested backup on \$500k in D&D and per diem and other charges in order to approve. 9/16/21 CX00699. Seafrigo denied this: “we have been sending all the invoices with the back-up on a case-by-case basis. There is no way we did not do it for all 500k of invoices.” 9/17/21 CX00699.

Response: Disputed. Seafrigo continuously provided invoices and supporting documentation. Raffa Dec. at 191. As reflected in the email chain, in this instance invoices and backup had already been sent. Id.

Bakerly PFF 91. The parties had agreed that Seafrigo would provide a D&D report to Bakerly, but it was not provided until October 2021: “We are also still waiting for the weekly D&D report I discussed on my last call with Jerome. Without this report we are flying completely blind and have no control/vision over the demurrages we are incurring. It’s also preventing us from approving the invoices in a timely manner as we have to manually research what happened with the containers in order to approve the charges. I can’t stress enough how important this report is for us, it would help for instance highlight demurrage for containers where Bakerly is responsible like the ones in this email thread below where we made a last-minute change.” CX00225 (October 20, 2021); Charles requesting the weekly D&D report (on 10/20/21) that was never received and outlining that Bakerly was able to find drivers in one instance much faster than Seafrigo and sharing the review of 165 invoices. CX00668. Bakerly never received a response as of 11/12/21 CX00667 and did not receive response until 11/13/21 CX00666. *See also* CX00385 (communication between Bakerly and Seafrigo regarding the continuous inconsistency of the daily reports received. See samples of serious inadequacy of Report information provided by Seafrigo which is consistent with information received that their software was inappropriate); CX00634 (Al admitting that the report of backup documentation is insufficient 2/10/22). And when Seafrigo did send the reports they were insufficient.

Response: Disputed. In Seafrigo’s message of February 10, 2022, while it indicated that there were data gaps, Seafrigo had been providing invoices and supporting documents since December of 2020. Raffa Dec. at 192. The weekly report sought merely consisted of invoices and backup that were being sent on a transactional basis. Id.

Bakerly PFF 92. In November 2021, after no response from Seafrigo on Charles Lefort’s email sent in October; Charles Lefort sent another email to Seafrigo’s management team to confirm that: (a) Bakerly will automatically reject any D&D invoices without proper reporting and invoice backup showing details/explanations on the reasons for D&D; (b) Bakerly will start transitioning drayage services to a third-party provider to limit the impact on the lack of drivers for which Bakerly had no daily/weekly updates from Seafrigo; (c) Bakerly still wants to be good partners and pay the invoices, but that they can’t do that without any proper invoice backup. CX00021.

Response: Partially Disputed. Bakerly admits that it intended to pay the outstanding detent and demurrage invoices which are the very charges it now claims it has never owed. Raffa Dec. at 193. Seafrigo submits that Bakerly was provided with information regarding the detention and demurrage charges at issue. Id. Further, Seafrigo continued to communicate with the Bakerly team on all deliveries through email and via a daily report that was automatically being sent to various Bakerly team members. Id.

Bakerly Repeatedly Refused to Pay Based on Lack of Backup Documentation:

Bakerly PFF 93. Bakerly repeatedly admonished Seafrigo that Bakerly would not pay a premium based on driver shortages and generalized port congestion. *See generally* CX00618, specific examples below.

Response. Disputed. Nowhere in the email referenced is there a discussion of driver shortages and port congestion. Raffa Dec. at 194. Instead, it reflects a conversation whereby Seafrigo informed Bakerly that Seafrigo would no longer pay detention and demurrage on behalf of Bakerly and that it needed to find other arrangements to pay for future charges. *Id.* Following that email, a phone conversation occurred between Julien Caron and Jerome Lorrain and that it was agreed that Seafrigo would continue to pay detention and demurrage on behalf of Bakerly if Bakerly agreed to pay such invoices. Lorrain Dec. at 10. Further, *see* Responses to PFFs 20, 26 and 27.

Bakerly PFF 94. Bakerly informed it will not pay for demurrage due to Seafrigo's inability to find drivers. CX00984 (9/29/21 email from Yudith).

Response; Partially Disputed. The remainder of the email chain reflects that Bakerly intended to pay the demurrage that was owed. Raffa Dec. at 194.

Bakerly PFF 95. On October 20, 2021, Bakerly stated that it was refusing to pay invoices without proper support: "We are also still waiting for the weekly D&D report I discussed on my last call with Jerome. Without this report we are flying completely blind and have no control/vision over the demurrages we are incurring. It's also preventing us from approving the invoices in a timely manner as we have to manually research what happened with the containers in order to approve the charges. I can't stress enough how important this report is for us, it would help for instance highlight demurrage for containers where Bakerly is responsible like the ones in this email thread below where we made a last-minute change.

For those reasons I instructed the team to reject invoices for demurrage due to lack of carriers until we can have that conversation. I don't feel right owning 100% of the financial exposure when we clearly have performance issues on Seafrigo's side.

Also want to take that opportunity to give you a recap of the findings from the team during the last 2 weekends. We had Yudith and Jessica research 165 invoices during the last 2 weekends to either approve or reject the invoices (which shouldn't and wouldn't happen should we have had a weekly D&D report)." CX00296, CX00231, CX00348 (approving \$224k, rejecting \$402k); *see also* CX00668.

Response. *See* responses to PFFs 89- 93.

Bakerly PFF 96. Bakerly informed Seafrigo that Bakerly cannot approve any D&D invoices without proper explanation/backup documentation. CX00576 (November 2021).

Response: *See* responses to PFFs 89-93.

Bakerly PFF 97. Bakerly told Seafrigo, “[W]e are not covering demurrage or per diem due to lack of drivers.” CX00654 (From Yudith to Melissa Curiel, Jessica Zuccaro, Samuel Pellot, on 10/19/21). Seafrigo responded: “When we see messages like this from your team, we start to grow concerned. // We need to know that your team fully understands the market conditions and that Seafrigo is going to continue to do its utmost to service all of your containers.” CX00654 (10/19/21); CX00618.

Response: Seafrigo does not dispute the contents of the email.

Bakerly PFF 98. Bakerly reminded Seafrigo that invoices are not approved when they lack backup. CX00684 (12/17/21).

Response: See responses to PFFs 89-93.

Bakerly PFF 99. Bakerly notifying Seafrigo that Bakerly “cannot cover demurrage fees” for “12 containers because” Bakerly was “not notified with enough time” to provide USDA information. Seafrigo disagrees “We did not notify you late. We notified exactly when USDA notified us of what they were asking for” and demands demurrage because it “is not a Seafrigo issue.” CX00639 (2/8/22).

Response: Seafrigo admits that it is not responsible for charges assessed due to government holds. Seafrigo timely noticed Bakerly of the hold when it was made aware of it. Raffa Dec. at 195.

Bakerly PFF 100. Thus, Al Raffa’s statements are not persuasive:

- a. “Prior to initiating this litigation Bakerly never asserted that it had no contractual obligation to pay detention and demurrage associated with the cargo.” CX01415.
- b. “If Seafrigo had been informed that Bakerly thought that Seafrigo was assuming the obligation to pay detention, demurrage, per diem, and other ancillary charges, it would have refused to make the millions of dollars in advances it made on behalf of Bakerly.” CX01416.

Response: Disputed. Seafrigo submits that the assertion that Al Raffa’s statements are not persuasive and the true statements in (a) and (b) are non sequiturs and have no logical basis. Raffa Dec. at 196.

Bakerly PFF 101. Further, Al Raffa’s comments in Bakerly PFF 100 are controverted by the fact that during Bakerly’s independent reviews, if Bakerly was at fault, it would pay. See Bakerly PFF 32.

Response: Disputed. Bakerly’s PFF contravenes its legal argument made in support of Motion for Partial Judgment that pursuant to Seafrigo’s tariff, Seafrigo, not Bakerly, is responsible for detention and demurrage charges. Raffa Dec. at 197. Bakerly now apparently may have abandoned that argument. Id.

Cash Flow Issues

Bakerly PF 102. Seafrigo suffered cash flow issues because of Bakerly's rejected invoices. CX00181; CX00187 (Seafrigo identifying credit issues due to June and July 2021 demurrage payments); CX00194 (Seafrigo requesting payment due to large outstanding AR amount); CX00200 (Seafrigo requesting payment and outlining cash position was unsustainable and Bakerly responding that detention and demurrage charges did not have sufficient documentation to support the charges); and CX00213 (Seafrigo requesting payment due to its cash position and Bakerly outlining that Seafrigo is responsible for detention and demurrage and securing transportation to door per the terms of the agreement).

Response. Partially disputed. Seafrigo informed Bakerly that laying out millions of dollars on behalf of Bakerly without receiving reimbursement was putting a strain on its cash flow. Raffa Dec. at 108. The last sentence of PFF102 is not accurate, however. At no point in time did Seafrigo agree that Seafrigo would be responsible for detention and demurrage charges. SPPF at 160; 161. Nonetheless, Bakerly has wrongfully and patently unfairly now refused to reimburse Seafrigo, putting it in a grave situation after Seafrigo has paid millions of dollars on Bakerly's behalf. SPPF at 175.

Bakerly PFF 103. Seafrigo and Bakerly never signed any credit agreements. Seafrigo offered a Volume Incentive Discount in March 2021 to apply to January 2021 (CX00256), a \$30,000 credit in March 2021 for January 2021 detention and demurrage charges (CX00258), and another \$30,000 credit in August 2021 for July 2021 detention and demurrage charges (CX00260) regarding billing credits offered by Seafrigo (CX00181).

Response: Not disputed.

Bakerly PFF 104. Seafrigo alerted Bakerly via email to difficulty in cash flowing the large charges. CX00622-25 (1/25/22); CX00625 (7/21/21, 7/22/21).

Response: Not disputed.

Bakerly PFF 105. After Bakerly reminded Seafrigo that invoices are not approved when they lack backup (Bakerly PFF 98), Seafrigo responded that Bakerly's policy is causing a cash flow issue for Seafrigo. CX00684 (12/17/21).

Response: Partially disputed. Seafrigo did inform Bakerly (repeatedly) that its failure to pay invoices was causing cash flow issues for Seafrigo. Raffa Dec. at 108. Seafrigo consistently provided invoices and back up documentation related to same. SPPF at 183.

Bakerly PFF 106. Seafrigo told Bakerly it is difficult to float \$1 million. CX00696-97 (9/19/21).

Response: Not disputed.

Bakerly PFF 107. "Up to this point, Seafrigo has been financing all of the demurrage on behalf of Bakerly for the sake of ease and to avoid confusion with multiple parties getting involved." CX00714 (1/5/21 Al Raffa email).

Response: Not disputed.

Government Holds

Bakerly PFF 108. Containers were held due to FDA or CBP inspection. CX00812 Feb 2022 (CBP); CX00842 9/2021 (FDA); CX00880 (SEGU9289830 on customs hold); 3/2/22 CX00884.

Response: Not disputed.

Respectfully submitted,



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May 31, 2023

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 31st day of May, 2023.

A handwritten signature in blue ink, appearing to read "Brendan Collins", is written over a horizontal line.

Brendan Collins